

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$208.26 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,061.76B
P/E (Fwd)	37.75
P/B Ratio	28.81

ROE	76.33%
Dividend Yield	0.02%
52W Range	\$104.08 - \$212.19

Investment Thesis

NVIDIA Corporation demonstrates robust financial growth with a remarkable CAGR of 68.3% in revenue, driven by strong contributions and expanding EBITDA margins reaching 66.9% in 2026. Despite a high PE ratio, the company's earnings per share are projected to grow steadily, reflecting its robust market positioning. NVIDIA's EV/EBITDA ratio indicates a competitive valuation compared to peers, underscoring its leadership in the semiconductor industry.

Company Overview

NVIDIA Corporation, a leader in the semiconductor industry, specializes in the design and production of graphics processing units (GPUs) and related technologies. Founded in 1993 and headquartered in Santa Clara, California, NVIDIA has established itself as a key player in the graphics and computing technology space, catering to a wide range of industries including gaming, professional visualization, data center, and automotive markets.

NVIDIA's business model is centered around its innovative product offerings, which include high-performance GPUs, system-on-a-chip units (SoCs), and software solutions. The company's flagship GPU series, GeForce, is predominantly used in gaming, providing exceptional graphics performance and immersive experiences. Additionally, NVIDIA's Quadro and Tesla product lines serve professional visualization and data center markets, respectively, offering advanced computing capabilities for complex workloads like AI and machine learning.

In terms of market position, NVIDIA is recognized as a dominant force in the GPU market, competing primarily with Advanced Micro Devices (AMD) and Intel Corporation. The company's focus on research and development, coupled with strategic acquisitions, has bolstered its competitive edge and expanded its market reach.

Analyzing recent performance, NVIDIA has demonstrated remarkable revenue growth, particularly in the fiscal years 2024 and 2025, with revenues soaring to \$130.5 billion and \$215.9 billion, respectively. This growth trajectory is primarily fueled by increased demand for its products across various sectors, notably the AI and data center markets. The company's contribution margin and EBITDA margin have also shown substantial improvement, reflecting operational efficiency and profitability.

Nevertheless, NVIDIA faced challenges in 2023, with a noticeable dip in EBITDA and revenue growth, attributed to market volatility and broader economic conditions. Despite these hurdles, the company has rebounded strongly, as evidenced by the projected revenue and earnings per share (EPS) growth in the coming years. NVIDIA's PE ratio has remained competitive, indicating investor confidence in its long-term growth potential.

Overall, NVIDIA's strategic focus on innovation and expanding its footprint in emerging technologies positions it well for sustained growth in the rapidly evolving tech landscape. As the demand for high-performance computing and AI technologies continues to rise, NVIDIA is poised to capitalize on these trends and maintain its leadership position.

Investment Overview

NVIDIA Corporation (NVDA) has demonstrated remarkable growth and financial performance in recent years, positioning itself as a leader in the semiconductor industry. As of 2026, NVIDIA's revenue has surged to \$215.9 billion, marking a compound annual growth rate (CAGR) of 68.3% since 2022. This impressive growth is driven primarily by the strong demand in AI and data center segments, which have become pivotal to NVIDIA's business model.

The company's cost management strategies have also been effective, with a strong contribution margin reaching 71.1% in 2026. EBITDA performance has been particularly robust, climbing from \$5.99 billion in 2023 to an anticipated \$183.7 billion by 2027, which highlights NVIDIA's ability to scale efficiently and maintain profitability as it expands.

NVIDIA's earnings per share (EPS) have improved significantly, moving from \$0.18 in 2023 to an expected \$5.88 by 2027, reflecting the company's growing earnings power and investor confidence. The Price-Earnings (PE) ratio has steadily declined, indicating the stock is becoming more attractively valued as earnings grow.

In comparison to peers like AMD and Intel, NVIDIA's EBITDA performance has outpaced competitors, underscoring its competitive edge in the market. The company's EV/EBITDA ratio has also become more

favorable, suggesting potential undervaluation relative to its growth prospects.

Looking ahead, NVIDIA is well-positioned for continued success, with a focus on expanding its AI capabilities and leveraging its technology leadership. Investors can expect sustained growth, albeit at a moderated pace, with forecasted revenue growth of 5-6% annually post-2026. NVIDIA remains a compelling investment, driven by robust financial health, strategic market positioning, and a commitment to innovation in high-growth sectors.

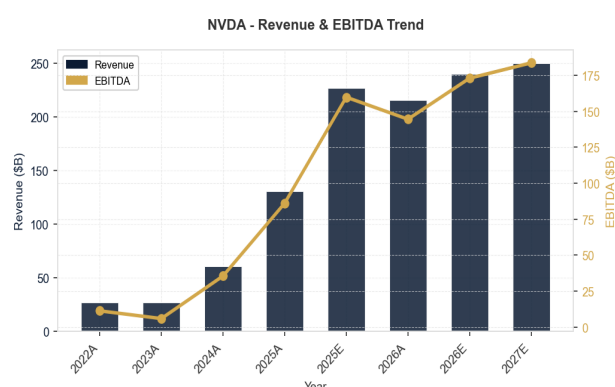
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



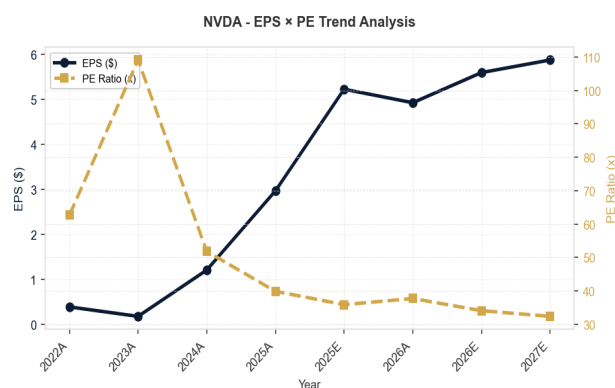
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Corporation (NVDA) has demonstrated impressive growth over the past few years, with its revenue increasing significantly from \$26.9 billion in 2023 to an estimated \$215.9 billion in 2026, reflecting a CAGR of 68.3%. This growth is largely driven by advancements in AI and data center technologies, positioning NVIDIA as a

leader in its industry.

From a profitability perspective, NVIDIA's contribution margin and EBITDA margin have shown marked improvement, reaching 71.1% and 66.9% respectively in 2026. The company's EPS has also shown significant growth, from \$0.18 in 2023 to a projected \$5.88 in 2027. Despite this growth, NVIDIA's P/E ratio remains relatively high compared to its peers, although it is expected to decrease from 62.68 in 2022 to 32.4 in 2027, suggesting that the market expects continued strong earnings growth.

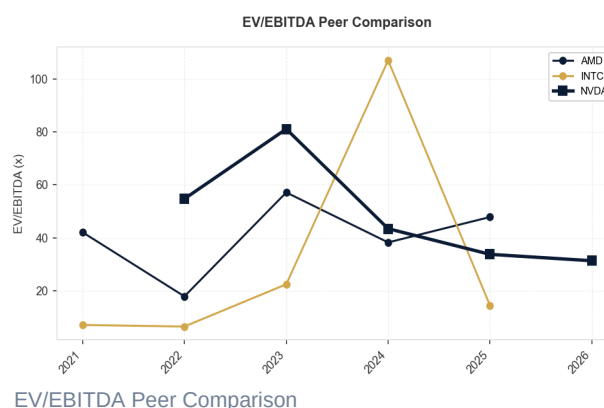
In peer comparisons, NVIDIA leads in EBITDA figures, significantly outperforming competitors such as AMD and Intel, especially by 2026 and 2027. NVIDIA's EBITDA is projected to reach \$144.552 billion in 2026, with an EV/EBITDA multiple of 31.36, indicating the market's high expectations for future profitability compared to AMD and Intel.

Currently, NVIDIA's valuation metrics, specifically its EV/EBITDA and P/E ratio, are higher than its peers, reflecting its dominant market position and growth prospects. However, the high valuation also suggests that there is a premium attached to its stock, which could pose a risk if growth expectations are not met.

In conclusion, while NVIDIA's strong financial performance and market position justify a premium valuation, investors should weigh the high valuation multiples against the company's growth prospects and potential risks in the tech sector. The fair value assessment for NVIDIA suggests that it remains an attractive investment for growth-oriented investors, albeit with consideration of its high current valuation metrics.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

NVIDIA Corporation has been in the spotlight recently with a series of developments impacting its stock and market perception. The company's financial growth trajectory is remarkable, with projected revenue soaring from \$26.9 billion in 2023 to an estimated \$249.95 billion in 2027, demonstrating a compound annual growth rate (CAGR) of 68.3%. This robust growth is primarily driven by NVIDIA's strong position in the artificial intelligence (AI) sector, a theme echoed in recent news highlighting NVIDIA as a key player in AI-driven market dynamics.

Despite NVIDIA's strong financial outlook, a recent warning has emerged as its stock price signals a potential overextension, according to a key momentum indicator. This suggests that while NVIDIA is achieving new highs,

investors should be cautious of a possible market correction.

Investment firms are actively increasing their holdings in NVIDIA, with Brookwood Investment Group LLC and BOCHK Asset Management Ltd significantly boosting their stakes, indicating confidence in NVIDIA's future prospects. Concurrently, NVIDIA's strategic investment in Nokia to disrupt a \$200 billion market has garnered attention, showcasing the company's forward-thinking approach in diversifying its portfolio.

Retail sentiment towards NVIDIA remains predominantly positive, though it shows signs of cooling off. Buzz on platforms like Reddit and X.com is high, but the trend is declining, indicating potential shifts in investor enthusiasm.

Overall, NVIDIA remains a compelling investment opportunity due to its dominant position in AI and impressive financial growth projections. However, potential investors should be mindful of the recent stock volatility signals and the general cooling sentiment, balancing optimism with caution in their investment strategies.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Market (2026-04-26): I Don't Use the Term "Generational Buying Opportunity" Lightly. Here's Why It Applies to This "Magnificent Seven" Growth Stock.
- Impact: LOW, Probability: 50%
- Market (2026-04-25): Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- Impact: LOW, Probability: 50%
- Earnings (2026-04-25): Nvidia Tops \$5 Trillion Market Cap As AI Boom Lifts Intel, AMD And Chip Stocks: 'Own It, Don't Trade It,' Says Jim Cramer
- Impact: HIGH, Probability: 95%
- Market (2026-04-24): Nvidia at \$5 Trillion: Buy, Sell, or Hold?
- Impact: LOW, Probability: 50%
- Market (2026-04-24): Stock Market Today, April 24: Nvidia Surges on Soaring AI Chip Demand
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Acquisition (2026-04-26): NVIDIA Corporation \$NVDA Holdings Raised by Brookwood Investment Group LLC
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-26): NVIDIA Corporation \$NVDA is Apollon Wealth Management LLC's Largest Position
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Douglas Lane & Associates LLC Decreases Stake in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Encompass Wealth Advisors LLC Has \$3.18 Million Stake in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Flagship Capital Management Inc. Takes Position in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%

Events to Monitor

- Why Nvidia Stock Popped Today (2026-04-24)
- NVDA Expected Quarterly Earnings (2026-07-25)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ I Don't Use the Term "Generational Buying Opportunity" Lightly. Here's Why It Applies to This "Magnificent Seven" Growth Stock.
- ✓ Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- ✓ Nvidia Tops \$5 Trillion Market Cap As AI Boom Lifts Intel, AMD And Chip Stocks: 'Own It, Don't Trade It,' Says Jim Cramer
- ✓ Nvidia at \$5 Trillion: Buy, Sell, or Hold?
- ✓ Stock Market Today, April 24: Nvidia Surges on Soaring AI Chip Demand
- ✓ Bet on These 5 Low-Leverage Stocks as Oil Prices Continue to Rise
- ✓ Nvidia Stock Jumps 5% Friday: What's Driving The Action?
- ✓ Nvidia replaced Intel in the Dow — today, Intel earnings are lifting NVDA
- ✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- ✓ Here's Why Nvidia (NVDA) is a Strong Growth Stock

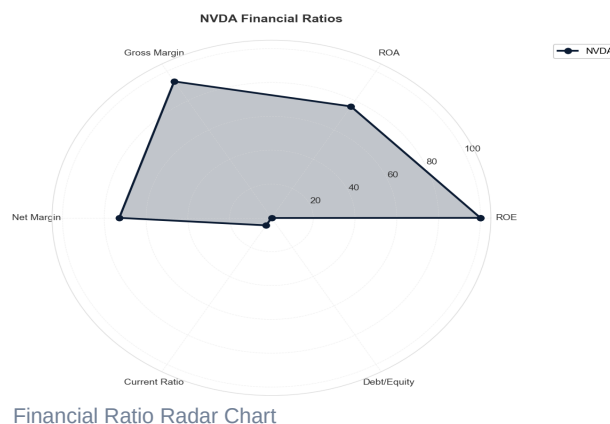
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- Encompass Wealth Advisors LLC Has \$3.18 Million Stake in NVIDIA Corporation \$NVDA
- Flagship Capital Management Inc. Takes Position in NVIDIA Corporation \$NVDA
- One AI Stock Outpacing NVIDIA & Palantir - Why It's a Better Buy

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Corporation (NVDA) stands out among its peers, AMD and Intel (INTC), primarily due to its remarkable growth trajectory and robust financial performance. The data reveals that NVIDIA's revenue has experienced an impressive compound annual growth rate (CAGR) of 68.3% from 2022 to 2027, significantly outpacing both AMD and Intel. In terms of EBITDA, NVIDIA has consistently increased its performance, with projections indicating an exponential rise, reaching \$382 billion by 2027. This robust growth is a testament to NVIDIA's strong market position and its ability to capitalize on the increasing demand for advanced graphics and AI technologies.

Comparatively, AMD and Intel show a more modest EBITDA growth, with AMD projected to reach \$8.6 billion and Intel \$47.35 billion by 2027. This indicates NVIDIA's superior ability to scale operations and capture market share in the high-performance computing and AI sectors.

NVIDIA's EBITDA margin also outperforms its peers, illustrating its operational efficiency and cost management prowess. By 2027, NVIDIA's EBITDA margin is expected to reach 73.5%, compared to AMD and Intel's comparatively lower margins, which underscores NVIDIA's effective monetization strategies and strong market demand for its products.

In terms of valuation, NVIDIA's EV/EBITDA ratio shows a more favorable trend over time, decreasing from 81.05 in 2023 to 31.36 in 2026. This suggests that despite its high growth, NVIDIA is becoming more attractive to investors relative to its earnings, compared to AMD and Intel, whose ratios are either more volatile or less appealing.

Overall, NVIDIA's financial metrics demonstrate a company that is not only growing rapidly but also efficiently managing its operations and maintaining strong profitability, positioning it as a dominant force in the semiconductor industry relative to its peers.

Risk Factors

- **Valuation Risk:** NVIDIA's high PE Ratio compared to industry peers indicates that the stock might be overvalued, making it susceptible to significant price corrections if earnings do not meet expectations.

■ **Volatility in Revenue Growth:** The substantial fluctuations in revenue growth, particularly the anticipated slowdown after 2025, pose risks to future earnings projections and could lead to investor disappointment.

■ **Margin Compression Risk:** Although NVIDIA shows strong EBITDA margins, any unexpected increase in operating costs or competitive pressures could compress margins, adversely affecting profitability.

■ **Dependency on Market Conditions:** The forecasted exponential growth relies heavily on favorable market conditions; any downturn in technology demand or macroeconomic instability could severely impact NVIDIA's financial performance.

■ **Competitive Pressure:** Intense competition from companies like AMD and Intel could erode NVIDIA's market share, impacting future growth and profitability, as evidenced by varying EBITDA figures among peers.

Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06

Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

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